

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate)	Docket No. RM26-4-000
Transmission System)	

**COMMENTS OF THE PUBLIC UTILITIES COMMISSION OF OHIO’S
OFFICE OF THE FEDERAL ENERGY ADVOCATE**

The Office of the Federal Energy Advocate (Ohio FEA) of the Public Utilities Commission of Ohio (PUCO), fulfilling its statutory duty to advocate on behalf of Ohio’s retail electricity consumers,¹ submits the following in response to the Federal Energy Regulatory Commission’s (FERC or Commission) October 27, 2025 notice inviting comments in response to the Secretary of Energy’s (Secretary) advance notice of proposed rulemaking regarding the interconnection of large loads to the interstate transmission system.

I. Background

Rapid demand growth, primarily driven by large loads such as data centers, has presented unique challenges to the electric utility industry. Load forecasting, system planning, and interconnection processes have all struggled to keep pace with the rate at which large loads seek to be added to the system. Ohio is at the forefront of this phenomenon. The Ohio FEA, therefore, recognizes that these challenges will require new and innovative approaches from regulators, utilities, and interconnecting customers. Notwithstanding the challenges new large loads present to the electric grid, the Ohio FEA agrees with the Secretary that all Americans, and all industries,

¹ Ohio Revised Code 4928.24.

must have access to reliable, affordable, and secure electricity service. The interconnection of new large loads, however, must not come at the expense of reliability to other customers.

Secretary Wright sets forth a series of fourteen principles that are intended to ensure efficient, timely, and non-discriminatory load interconnection. With these objectives in mind, the Ohio FEA offers the following comments to inform the Commission's rulemaking process.

II. Comments

A. Ohio Is Already Working to Address Data Center Loads.

While the Ohio FEA appreciates the Secretary's interest in a centralized solution to the challenge of efficient large load interconnection, we recommend the Commission continue to defer to state action and utility-specific tariffs to manage the interconnection of load. The PUCO has already begun working with regulated utilities in Ohio to create an orderly and expedited process by which new data center loads can request interconnection studies and an electric service agreement. For example, the PUCO recently authorized a new data center tariff for AEP Ohio's service territory to address the transmission buildout necessary to meet new data center load in central Ohio.²

In approving a tariff limited to data centers rather than all new large loads, the PUCO acknowledged several things. First, data centers *are* the new large load predominant in central Ohio. To date, 36 data center sites representing over 13,000 MW of new load have filed applications under AEP Ohio's tariff. Second, data centers have significant speed to market concerns. Third, data centers pose unique and specific risks that are not present with other large customer classes. In crafting a tariff, the PUCO and AEP Ohio sought to equitably address each of

² *In re Application of Ohio Power Company for New Tariffs Related to Data Centers and Mobile Data Centers*, PUCO Case No. 24-508-EL-ATA, Opinion and Order (July 9, 2025).

these factors while protecting other customers. Under the data center tariff, customers in AEP Ohio's data center queue may submit a request and pay a one-time fee for AEP Ohio to conduct a formal study of the prospective load (Step One). AEP Ohio then makes reasonable efforts to complete the load study within: (i) 60 days if regional transmission upgrades are needed to serve the customer; or (ii) 45 days for all others (Step Two). AEP Ohio will then present the new load customer with a letter of agreement and electric service agreement (Step Three), and customers have 60 days to sign these contracts (Step Four). As discussed further below, the data center tariff is already having an impact on AEP Ohio's load interconnection queue. We agree with the National Association of Regulatory Utility Commissioners (NARUC) that FERC should respect the states' authority to implement large load tariffs and other tools to promote system flexibility and equitable allocation of system costs.³

B. Defining Large Loads Is Critical.

Should FERC assert jurisdiction over large load interconnection, the Ohio FEA recommends the Commission proceed in a similar manner and focus any proposed rulemaking on data centers rather than all new large loads. Data centers are a unique customer class with exceptional characteristics, and it is not unduly discriminatory to identify them as such and apply regulatory treatment that may differ from that applied to other large loads such as manufacturers.

In addition, the Ohio FEA supports the adoption of a clear threshold at which such federal jurisdiction would be invoked. As recognized in the Secretary's principles for reform, any legally durable rule must continue to respect states' authority over retail electricity sales and

³ *Resolution Urging the Federal Energy Regulatory Commission to Preserve and Affirm State Retail Regulatory Jurisdiction in its Large Load Interconnection Proceeding*, adopted by the NARUC Board of Directors on November 11, 2025, available at https://pubs.naruc.org/pub/97FE08D1-CF4D-9199-BA7F-5884DD427E55?_gl=1*rp4xq5*_ga*MTIzMzM0MzU2MS4xNzYyNDMyNzky*_ga_QLH1N3Q1NF*czE3NjMxNDMxODUKbzMkZzEkdDE3NjMxNDMyMzYkajkkbDAkaDA.

the siting of generation facilities, as well as the Commission's seven-factor test established in Order No. 888 to identify distribution and transmission facilities. Nevertheless, given the complexities of establishing a straightforward demarcation of the bulk power system, setting a threshold related to a data center's load requirements may facilitate the Secretary's stated mission to streamline the interconnection process for large loads. In AEP Ohio's data center tariff, the PUCO established a threshold of 25 MW for inclusion in the new customer class. However, for consistency with generator interconnections, 20 MW could also be a reasonable threshold.

C. Standardizing Treatment of New Data Center Loads Is Appropriate.

The Ohio FEA supports the use of standardized study deposits, readiness requirements, and withdrawal penalties for data center loads across the country. Such financial obligations and milestones are necessary to separate legitimate loads that are ready for interconnection service from loads that are speculative, redundant, or unlikely to move forward. This frees up limited utility resources to be spent on projects that are truly shovel-ready. It also informs critical utility load forecasting and planning processes, helping to prevent misallocation of resources or overinvestment in the system. To illustrate, last year, AEP Ohio projected over 30,000 MW of new data center load interconnections. However, once its data center tariff was in place and a one-time fee was established to conduct a formal study, that number was cut by more than half.

While standardization is a useful objective, it should also be noted that any rule promulgated by the Commission must recognize that every interconnection is unique and some locations may be more challenging than others. Speed is critical, but it must not come at the expense of safety and reliability. Utilities must meet North American Electric Reliability

Corporation standards and abide by tariffs governing the bulk power system. Any proposed rule must accommodate these realities and afford utilities the necessary flexibility to do so.

D. Data Centers Should Not Impose Costs on Other Customers.

To the extent practicable, new data center loads should not impose costs on other customers or customer classes. Consistent with this principle, the Ohio FEA agrees that large load and hybrid facilities (new load and generation in proximity) should be responsible for 100% of the network upgrades resulting from their interconnection studies. Newly interconnecting large loads must be allocated a fair and equitable share of the costs related to the transmission system that they will utilize and benefit from, both new and existing, as well as the grid ancillary systems upon which they will rely.

The Ohio FEA strongly supports “Bring Your Own Generation” concepts as a means to bring much needed new generation online to meet the massive demand of new large loads, including expedited interconnection for new generation paired in proximity to new load which should significantly reduce grid impacts (and thus extensive interconnection studies) at those locations. However, as recently emphasized in the co-location docket,⁴ the Ohio FEA agrees that any existing generating resource that suspends grid service in order to serve new load must undergo studies at their own expense to ensure those arrangements do not undermine the reliability of the bulk power system and that customers who continue to be served from the grid will not be harmed.

III. Conclusion

The Ohio FEA appreciates FERC’s efforts to consider means to promptly interconnect data centers and other large load customers to the interstate transmission system, while meeting

⁴ Ohio FEA Comments, Docket No. EL25-49-000, et al.

the urgent need to ensure resource adequacy and protect the reliability of the electric grid for all customers. Towards this shared objective, we ask that the Commission respect state jurisdiction over the load interconnection of retail customers by continuing to defer to states' authority to adopt large load tariffs or other measures to protect the interests of retail ratepayers.

Respectfully submitted,

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**On Behalf of the Public Utilities
Commission of Ohio's Office of the
Federal Energy Advocate**

November 21, 2025

CERTIFICATE OF SERVICE

I hereby certify that I have on this date caused a copy of the foregoing document to be served on each person included on the official service list maintained for this proceeding by the Commission's Secretary, by electronic mail or such other means as a party may have requested, in accordance with Rule 2010 of the Commission's Rules of Practice and Procedure, 18 C.F.R. § 385.2010. Dated this the 21st day of November 2025, at Columbus, Ohio.

/s/ Thomas G. Lindgren
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